

Subject Description Form

Subject Code	AF1605
Subject Title	Introduction to Economics
Credit Value	3
Level	1
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject enables students to analyze business problems by applying conceptual frameworks drawn from economics; appraise the economic values created in the allocation of resource.
Subject Learning Outcomes	Upon completion of the subject, students will be able to: (a) Identify and analyze the means by which values are created in resources allocation and product/service provision (BBA Outcome 6); (b) Conduct economic analysis of the behavior of firms and markets; (c) Evaluate the issues relating to the macroeconomy and analyze the effectiveness of government economic policy. (d) Understand the role of blockchain and data science on the behavior of firms and the performance of the macroeconomy.
Subject Synopsis/ Indicative Syllabus	The Scope of Economic Analysis Concept of scarcity and opportunity cost. Nature of economic science. Relation with other subject disciplines. Cost and benefit analysis. Demand, Supply and the Price Mechanism The law of demand. Elasticity of demand. The law of supply. Production and cost. Price control. Usage of big data to market decisions. Market Structure Perfect competition. Monopoly. Oligopoly. Market failure. National Income Accounting and Determination Major macroeconomic issues. Concepts and approaches to national income accounting. Aggregate demand, aggregate supply and national income determination. Fiscal Policy and Monetary Policy Roles of government spending and taxation. Banking system. Loanable fund market model and determination of interest rate. Central banking and monetary policy. Inflation and unemployment. Cryptocurrency.

Teaching/Learning Methodology	A flipped classroom approach is applied to both lectures and tutorials. Before the lecture, students are required to view a set of videos to learn the key concepts of the topic, and to finish pre-class exercises to confirm their understanding. During the lecture, we will have some review and exercises for students to consolidate their understanding. We will further discuss some real-life cases. In the tutorial session, students in small groups will work together on some structured problem set questions.																																																																																					
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th></th><th></th></tr><tr><td>Continuous Assessment</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Pre-class Exercises</td><td>5%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Written assignments</td><td>15%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Mid-term test</td><td>10%</td><td>✓</td><td>✓</td><td></td><td></td><td></td><td></td></tr><tr><td>Participation in Lecture Activities</td><td>10%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Participation in Tutorial Activities</td><td>10%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Final Examination</td><td>50%</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Total</td><td>100 %</td><td colspan="6"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Under the flipped learning approach, the continuous assessment components include pre-class exercises, participation in lectures and tutorials, written assignments, and a mid-term test. The marks on pre-class exercises and class participation reward students for their efforts in class and reflect how well they have acquired the knowledge related to the intended learning outcomes. The written assignments will allow the instructors to observe and assess individual student’s achievement of a particular learning outcome based on how well the student elaborate their answers using economic concepts introduced in this course. Test and examination are used to gauge how much students have understood the overall subject contents and to assess students’ achievement of all learning outcomes. To reflect the significant technology content in this subject, 10% (or more) of the								Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d			Continuous Assessment	50%	✓	✓	✓	✓			Pre-class Exercises	5%	✓	✓	✓	✓			Written assignments	15%	✓	✓	✓	✓			Mid-term test	10%	✓	✓					Participation in Lecture Activities	10%	✓	✓	✓	✓			Participation in Tutorial Activities	10%	✓	✓	✓	✓			Final Examination	50%	✓	✓	✓	✓			Total	100 %						
Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)																																																																																				
		a	b	c	d																																																																																	
Continuous Assessment	50%	✓	✓	✓	✓																																																																																	
Pre-class Exercises	5%	✓	✓	✓	✓																																																																																	
Written assignments	15%	✓	✓	✓	✓																																																																																	
Mid-term test	10%	✓	✓																																																																																			
Participation in Lecture Activities	10%	✓	✓	✓	✓																																																																																	
Participation in Tutorial Activities	10%	✓	✓	✓	✓																																																																																	
Final Examination	50%	✓	✓	✓	✓																																																																																	
Total	100 %																																																																																					

	overall weighting of this subject is based on individual assessment concerning technology-related knowledge.	
Student Study Effort Expected	Class contact:	
	▪ Lecture	26 Hrs.
	▪ Tutorials	13 Hrs.
	Other student study effort:	
	▪ Self-study and homework preparation	78 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	Main textbook: Robin Bade and Michael Parkin, <i>Foundation of Economics</i>, Pearson, latest edition. References: Robert H. Frank and Ben S. Bernanke, <i>Principle of Economics</i>, McGraw Hill, latest edition. N. Gregory Mankiw, <i>Principles of Economics</i>, South-Western, latest edition. Daron Acemoglu, David Laibson and John A. List, <i>Economics</i>, latest edition. Christopher D. Piros, and Jerald E. Pinto, <i>Economics for Investment Decision Makers: Micro, Macro, and International Economics</i>, Wiley, latest edition.	